

US PRE-MARKET BRIEFING

Friday, May 30, 2026 | OWL for Tae

1. EXECUTIVE SUMMARY

Markets are in a holding pattern heading into Friday, caught between two forces: a potential US-Iran deal that could reopen the Strait of Hormuz and crash oil, versus a stock market priced for perfection at record highs. The S&P 500 closed above 7,200 for the first time in April and has kept climbing. WTI crude sits at ~\$96/bbl on Hormuz blockade fears, but every headline about a deal sends oil plunging 3% intraday. VIX at 16.7 says nobody's hedging. This is the squeeze week - a deal closes the oil premium and boosts equities; a collapse reverses both violently.

2. MARKET SNAPSHOT

Asset	Level	Change	Source/Date
S&P 500 Futures (ESM26)	~7,569	+0.38%	Yahoo, May 29
Nasdaq 100 Futures (NQM26)	~30,047	+0.42%	Yahoo, May 29
Dow Jones Futures (YM)	~50,699	+0.04%	TradingView, May 29
10Y Treasury Yield	4.45%	-3 bps	Trading Econ, May 28
10Y-2Y Spread	~-20 bps	Inverted	Calculated
VIX	16.76	-0.09	Yahoo, May 28
WTI Crude	\$96.60	+0.25%	Investing.com
Brent Crude	\$103.54	-	Oilprice.com
Gold Spot	\$4,507	-0.1%	Trading Econ, May 28
Copper (LME)	\$13,600/t	+1.28%	LME, May 28
DXY	99.0	+0.04%	Investing.com
EUR/USD	~1.07	-	Trading Econ

3. KEY THEMES

Iran/Hormuz Is THE Swing Factor The Strait of Hormuz remains effectively blocked. ~25% of global seaborne oil and 20% of LNG transit through it. WTI at \$96 embeds a \$10-15/bbl war premium. Rubio said Hormuz will open one way or another within days.

S&P 500 at Records - Priced for Perfection The index closed above 7,200 for the first time in April. But the rally is narrow - mega-cap tech-led. Equal-weighted S&P 500 has lagged meaningfully.

Oil at \$96 Is Deflationary Waiting to Happen If a Hormuz deal happens, WTI could drop to \$75-80 within days. Long oil / short consumer trade is crowded and would reverse violently.

Gold at \$4,507 - Cooling After Parabolic Run Off ATH (~\$4,572 on May 26) but still up 35% in a month. Real rates decline + safe-haven demand = structural support.

Yield Curve Inversion Persists 10Y at 4.45%, 2Y around 4.25% - inverted. Bond market screams recession risk. Divergence has persisted for 2+ years.

VIX at 16.7 - Historic Complacency No demand for downside protection. When everyone is unhedged, a shock event causes violent repositioning.

4. WHAT TO WATCH FRIDAY (May 30)

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Time (ET)	Event	Impact	Expected
8:30 AM ET	Core PCE Price Index (MoM)	CRITICAL	+0.3% exp.
8:30 AM ET	Personal Income / Spending	Medium	+0.3% / +0.2%
9:45 AM ET	Chicago PMI	Medium	49.0 exp.
10:00 AM ET	U. Michigan Consumer Sentiment (final)	High	-
ANY TIME	Iran / Hormuz deal announcement	WILDCARD	Monitor Reuters/NYT

5. THE HARD TRUTH (Damodaran Lens)

You are paying for perfection on multiple fronts, and reality does not do perfection.

S&P 500 at 7,200+: Forward P/E is ~22-23x vs historical ~16x average. You are paying a 35-40% premium to fair value. Expected return from here: ~4-5% nominal over the next decade before inflation.

AI/Tech Capex: 40%+ growth rates are priced in across mega-cap tech. When growth slows even modestly, 30-50x revenue companies with no profit get repriced violently.

The Crowding: Long AI, long mega-cap tech, short energy, short bonds. No liquidity when everyone runs for the exit simultaneously.

Bond Market vs. Stocks: An inverted yield curve for 2+ years has eventually been right. Stocks are ignoring it.

Action: Buy insurance now. A December VIX call or SPY put spread costs almost nothing at vol this low. The cost of insurance at historic lows - that is when you buy it.

6. WEEKLY CALENDAR

Day	Release	Expected	Impact
Mon 26	Memorial Day - Markets Closed	-	-
Tue 27	Consumer Confidence, Durable Goods	-	Medium
Wed 28	FOMC Minutes Release	-	High
Thu 29	GDP (2nd revision), Initial Claims	-	High
Fri 30	Core PCE, Michigan Sentiment	Pending	CRITICAL
-	- NEXT WEEK (Jun 2-6) -	-	-
Mon Jun 2	ISM Manufacturing PMI	-	High
Wed Jun 4	ADP Employment, ISM Services	-	High
Fri Jun 6	Nonfarm Payrolls, Unemployment	-	CRITICAL

Data from Yahoo Finance, Trading Economics, Investing.com, Barchart, FRED, LME. Not financial advice.